2. PLANS

Once you know what you'd like your life to look like in the next three to five years, it's time for step two: planning for the next twelve months. Looking at the path you're on, thinking about whether it's right for you and dreaming about a new path can be fun and even exhilarating. The important stage comes next. It involves figuring out the steps you need to take over the next twelve months to start creating that path you want to walk down, or to move closer to the life you want to design. That's because if you're drowning in credit card debt and the life you want to design involves buying a home, you need to do something about that debt. Pronto. If you're earning $50,000 a year with no assets to speak of and you want to retire in ten years' time, then you need to get moving and start thinking about saving a large chunk of your income, or perhaps adding another income stream or, depending on your age, potentially boosting your superannuation to get you there faster.

Working out a plan is all about the next twelve months. Take a look at your goals from step one and write down the financial challenges you need to set for yourself and complete over the next twelve months in order to take you further down the path towards achieving those goals. For example, if your goal means you need $10,000 in twelve months' time, that means you need to save $200 per week. If your goal means no credit card debt and your current debt is $5000, that means you may need to cut up your card and pay a minimum of $115 per week towards that debt (allowing for interest). If your goal is to save 60 per cent of your income for the next twelve months because you want to reach your goal of having the freedom to work from anywhere you choose faster, you might need to move into a shared house with friends, move to a cheaper suburb or, if it's available and relevant, to move back home with your parents and make decisions around your spending choices.

3. BANK ACCOUNTS

Once you've figured out your goals and have developed some plans around what you want to be spending money on and saving money for over the